FIDELITY & GUARANTY LIFE AND SUBSIDIARIES
CONDENSED CONSOLIDATED BALANCE SHEETS
(In millions, except share data)

	June 30, 2014 (Unaudited)	September 30, 2013
ASSETS		
Investments:		
Fixed maturities securities, available-for-sale, at fair value	$ 17,007.4	$ 15,541.4
Equity securities, available-for-sale, at fair value	698.4	271.1
Derivative investments	324.7	221.8
Other invested assets	340.2	188.2
Total investments	18,370.7	16,222.5
Related party loans	124.1	119.0
Cash and cash equivalents	818.3	1,204.3
Accrued investment income	157.2	159.3
Reinsurance recoverable	3,675.4	3,728.6
Intangibles, net	496.2	563.8
Deferred tax assets	95.3	226.4
Other assets	128.0	205.2
Total assets	$ 23,865.2	$ 22,429.1
LIABILITIES AND SHAREHOLDERS' EQUITY		
Contractholder funds	$ 16,217.9	$ 15,248.2
Future policy benefits	3,516.1	3,556.8
Funds withheld for reinsurance liabilities	1,339.3	1,407.7
Liability for policy and contract claims	61.0	51.5
Long-term debt	300.0	300.0
Other liabilities	728.0	700.0
Total liabilities	22,162.3	21,264.2
Shareholders' equity:		
Common stock ($.01 par value, 500,000,000 shares authorized, 58,437,412 issued and outstanding at June 30, 2014; 47,000,000 shares issued and outstanding at September 30, 2013)	0.6	—
Additional paid-in capital	701.4	527.1
Retained earnings	598.3	524.9
Accumulated other comprehensive income	402.6	112.9
Total shareholders' equity	1,702.9	1,164.9
Total liabilities and shareholders' equity	$ 23,865.2	$ 22,429.1

FIDELITY & GUARANTY LIFE AND SUBSIDIARIES
CONDENSED CONSOLIDATED STATEMENTS OF OPERATIONS
(In millions, except share data)

	Three months ended		Nine months ended	
	June 30, 2014	June 30, 2013	June 30, 2014	June 30, 2013
	(Unaudited)		(Unaudited)	
Revenues:				
Premiums	$ 13.1	$ 19.0	$ 41.4	$ 46.9
Net investment income	191.2	184.6	558.9	522.8
Net investment gains	145.0	58.3	266.7	411.5
Insurance and investment product fees and other	18.6	16.1	51.3	44.6
Total revenues	367.9	278.0	918.3	1,025.8
Benefits and expenses:				
Benefits and other changes in policy reserves	242.5	107.2	638.3	431.7
Acquisition and operating expenses, net of deferrals	22.9	25.6	80.9	76.0
Amortization of intangibles	14.7	64.7	48.9	163.1
Total benefits and expenses	280.1	197.5	768.1	670.8
Operating income	87.8	80.5	150.2	355.0
Interest expense	(5.7)	(5.9)	(16.9)	(5.9)
Income before income taxes	82.1	74.6	133.3	349.1
Income tax expense	25.6	21.4	9.3	112.1
Net income	$ 56.5	$ 53.2	$ 124.0	$ 237.0
Net income per common share:				
Basic	$ 0.97	$ 1.13	$ 2.25	$ 5.04
Diluted	$ 0.97	$ 1.13	$ 2.24	$ 5.04
Weighted average common shares used in computing net income per common share:				
Basic	58,270,822	47,000,000	55,194,513	47,000,000
Diluted	58,474,938	47,000,000	55,329,523	47,000,000
Cash dividend per common share	$ 0.065	NM(a)	$ 0.130	NM(a)
Supplemental disclosures:				
Total other-than-temporary impairments	$ (0.6)	$ (0.7)	$ (0.6)	$ (1.6)
Portion of other-than-temporary impairments included in other comprehensive income	—	—	—	—
Net other-than-temporary impairments	(0.6)	(0.7)	(0.6)	(1.6)
Gains on derivative instruments	73.5	19.9	176.9	126.6
Other investment gains	72.1	39.1	90.4	286.5
Total net investment gains	$ 145.0	$ 58.3	$ 266.7	$ 411.5

(a) NM - Not meaningful under prior capital structure. Cash dividends per common share for the three and nine months ended June 30, 2014 exclude the special dividend paid to Harbinger Group Inc. of $43.0 (see Note 9 - Equity).

FIDELITY & GUARANTY LIFE AND SUBSIDIARIES
CONDENSED CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME
(In millions)

	Three months ended		Nine months ended	
	June 30, 2014	June 30, 2013	June 30, 2014	June 30, 2013
	(Unaudited)		(Unaudited)	
Net income	$ 56.5	$ 53.2	$ 124.0	$ 237.0
Other comprehensive income (loss)				
Unrealized investment gains (losses):				
Changes in unrealized investment gains (losses) before reclassification adjustment	353.1	(559.4)	726.7	(379.1)
Net reclassification adjustment for (gains) included in net investment gains	(71.5)	(35.3)	(89.8)	(281.8)
Changes in unrealized investment gains (losses) after reclassification adjustment	281.6	(594.7)	636.9	(660.9)
Adjustments to intangible assets	(86.1)	210.7	(191.2)	260.9
Changes in deferred income tax asset/liability	(68.4)	135.5	(156.0)	140.9
Net change to derive comprehensive income (loss) for the period	127.1	(248.5)	289.7	(259.1)
Comprehensive income (loss), net of tax	$ 183.6	$ (195.3)	$ 413.7	$ (22.1)

FIDELITY & GUARANTY LIFE AND SUBSIDIARIES
CONDENSED CONSOLIDATED STATEMENTS OF CHANGES IN SHAREHOLDERS' EQUITY
(Unaudited)
(In millions)

	Common Stock	Additional Paid-in Capital/Contributed Capital	Retained Earnings	Accumulated Other Comprehensive Income (Loss)	Total Shareholders' Equity
Balance, September 30, 2012	$ —	$ 415.6	$ 440.7	$ 434.5	$ 1,290.8
Capital contributions from Harbinger Group Inc.	—	110.6	—	—	110.6
Dividends	—	—	(93.7)	—	(93.7)
Net income	—	—	237.0	—	237.0
Unrealized investment losses, net	—	—	—	(259.1)	(259.1)
Stock compensation	—	—	—	—	—
Balance, June 30, 2013	$ —	$ 526.2	$ 584.0	$ 175.4	$ 1,285.6
Balance, September 30, 2013	$ —	$ 527.1	$ 524.9	$ 112.9	$ 1,164.9
Dividends	—	—	(50.6)	—	(50.6)
Stock split	0.5	(0.5)	—	—	—
Proceeds from issuance of common stock, net of transaction fees	0.1	172.5	—	—	172.6
Net income	—	—	124.0	—	124.0
Unrealized investment gains, net	—	—	—	289.7	289.7
Stock compensation	—	2.3	—	—	2.3
Balance, June 30, 2014	$ 0.6	$ 701.4	$ 598.3	$ 402.6	$ 1,702.9